

Particulars of Claim

CLAIMANT · PLEADING

- 1 The Claimant ("Meridian") is a public limited company and operates a chain of approximately 180 retail stores in the United Kingdom together with an online sales channel.
- 2 The Defendant ("TechFlow") is a limited company which designs, supplies and implements retail software systems. The Agreement
- 3 By a written Master Services Agreement dated 14 March 2024 ("the MSA"), TechFlow agreed to design, build, configure and implement for Meridian a cloud-based inventory management and electronic point-of-sale platform ("the Platform").
- 4 The MSA incorporated a Statement of Work ("the SOW") at Schedule 1, which set out the scope of the works, the implementation plan and the milestones.
- 5 The total charges payable under the MSA were £2,400,000 (excluding VAT), payable against milestones.
- 6 It was an express term of the MSA and the SOW that the go-live date for the Platform was fixed at 1 October 2024, and that time was of the essence in respect of that date. The pre-contractual representation
- 7 At a meeting on or about 5 February 2024, prior to entering into the MSA, TechFlow by its Sales Director Mr Daniel Frost orally represented to Meridian that the Platform would reliably support at least 10,000 concurrent transactions ("the Representation"). Meridian entered into the MSA in reliance upon the Representation. The Representation was false: the Platform was incapable of supporting that volume. Breaches
- 8 In breach of the MSA, TechFlow delivered the Platform late. The Platform did not go live until 18 November 2024, some seven weeks after the contractual go-live date.
- 9 Meridian did not at any time request any change to the agreed scope of the works. All delay was caused by TechFlow's failure to allocate adequate and competent resources to the project.
- 10 On numerous occasions prior to go-live, Meridian warned TechFlow that the Platform was not ready and requested that go-live be deferred. TechFlow ignored those warnings and proceeded to go-live on 18 November 2024.
- 11 Following go-live, the Platform was unavailable for more than 40% of trading hours during November and December 2024, causing widespread till failures and an inability to process sales across Meridian's store estate.
- 12 The Platform contained numerous defects, including critical (Severity 1) failures in the stock-synchronisation module which caused stores to display and sell against incorrect stock figures. By reason of those defects the Platform was not of satisfactory quality and was not

reasonably fit for its purpose.

- 13 Meridian did not accept the Platform or any part of it, and no acceptance or sign-off was given by Meridian at any time.
- 14 Further, TechFlow failed to provide adequate training to Meridian's staff in the use of the Platform. Loss and damage
- 15 By reason of the matters aforesaid Meridian has suffered loss and damage. PARTICULARS: (a) Wasted expenditure, being sums paid to TechFlow under the MSA: £1,800,000. (b) Loss of profit during the peak trading period of November and December 2024: £4,200,000.
- 16 Further, Meridian claims interest on such sums as may be found due, pursuant to section 35A of the Senior Courts Act 1981, at such rate and for such period as the Court thinks fit. AND THE CLAIMANT CLAIMS: (1) Damages in the sum of approximately £6,000,000; (2) Interest pursuant to section 35A of the Senior Courts Act 1981; (3) Costs. ALEXANDRA HUNTER Gray's Court Chambers